understanding and working arrangement' between the Bank of England and the proposed Reserve Bank.[10] One of the reasons why Norman had opposed Blackett on the Directorate of the proposed RBI was that he was apprehensive about how inquisitive politicians would respond to the kind of 'clubby' informal arrangements he had in mind with the new RBI. Also, the last thing the Bank of England needed was uncertainty regarding the deployment of Indian reserves and the instability such uncertainty might cause in the London market. This fear led Norman to believe that an indefinite postponement of the RBI scheme was 'preferable to creating a potentially troublesome central bank in so important a country as India.' To his mind the India Office, unpopular as it was, would make a more reliable intermediary. Such thinking also led Norman to oppose a London branch of the RBI and when the Indian Legislature included a provision for a London office in the RBI Bill, he was determined to ensure that its role was insignificant. In the end, the RBI was intended 'as the greatest safeguard of all… in confrontation between London financial interests and the Indian government.'[11]

Purshotamdas in his Minute of dissent on the report of the Committee on Indian Reserve Bank Legislation in September 1933, pointed out that he understood the Round Table Conference agreement to mean that the RBI Board and management was to work as a commercial organization on a day-to-day basis on the lines laid down for the purpose of policy by the Indian legislature. Thus no political influence meant that there would be the influence of the Legislature or national influence just as the British assumed that there would be the influence of Whitehall. The RBI Bill, it was said, safeguarded only against Indian political influence while making it completely amenable to influence from Whitehall. Purshotamdas argued that either the government agreed to complete immunity from Whitehall and set up a State Bank directly subject to the Federal Government or else a shareholders' bank immune from political influence on both sides of the sea.

Also, in an unprecedented limiting of freedom of the powers of a central bank, the 1s 6d rate was written into the Statute-book with the bank having no powers to change it. The last word in this regard was to remain with the British government. Purshotamdas was apprehensive that the government would use the RBI to perpetuate the existing higher ratio. This led him to